

INVESTMENT COMMITTEE MEMO · INDIE & BOOTSTRAPPED SOFTWARE MARKET

The AI Gold Rush

Separating signal from noise in the fastest-growing — and most crowded — category in the market

PREPARED FOR THE PARTNERSHIP · AI VERTICAL DEEP DIVE

Category exposure is no longer an edge

AI has become the default choice for founders — which means volume alone tells an investor almost nothing about quality.



AI is the market, not a niche

It has pulled ahead of every adjacent category to become the single largest vertical by volume.



The same category, two outcomes

AI shows up just as often among the weakest businesses as it does among the strongest.



Recurring revenue wins

Subscription-first monetization consistently out-earns one-time and lifetime pricing.



Quiet signals beat loud ones

Organic authority and conversion efficiency predict revenue; follower counts do not.

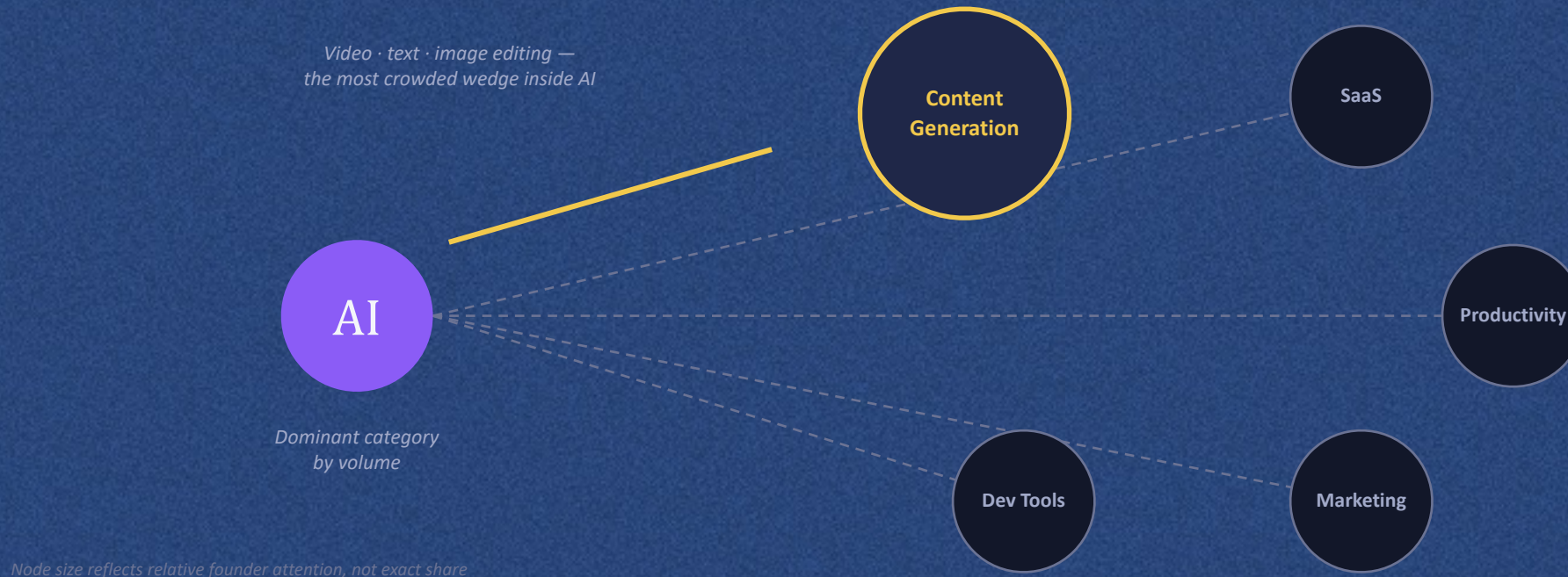


WHY THIS MATTERS this reframes the fund's sourcing question from "is it AI?" to "does it monetize like a winner?" — the four traits below are the filter.

"In this market, AI is a starting price of admission, not a competitive advantage."

The center of gravity has shifted decisively to AI

AI has out-scaled every adjacent category — but within it, founder positioning converges heavily on one crowded wedge: content generation.



WHY THIS MATTERS category-level growth is real, but it masks sub-thematic crowding — diligence must go one layer deeper than the "AI" label.

“The AI wave is real — but most of it is riding the same content-generation surfboard.”

Recurring revenue is the clearest predictor of who is winning

Businesses priced on subscriptions consistently carry deeper, more durable revenue than one-time, lifetime, or free alternatives.

PRICING ARCHITECTURE	REVENUE STRENGTH	CUSTOMER BASE DEPTH	DURABILITY SIGNAL
Subscription (recurring)	High	High	Compounding
Free / Freemium	Low–Medium	Medium	Funnel, not revenue
One-time / Lifetime	Low	Low	One-off, non-compounding
Enterprise / Custom	Unproven	Low (rare)	Emerging, not yet proven



WHY THIS MATTERS the fund should hold every AI target to the same recurring-revenue underwriting standard used for traditional SaaS — hype does not change the math.

“Recurring revenue isn’t just a business model here — it’s the clearest predictor of who’s actually winning.”

Follower counts are vanity; conversion efficiency is the real engine

Audience size shows almost no relationship with recurring revenue — the businesses that win are the ones that convert visitors into paying customers, not the ones with the biggest following.





Organic authority tracks revenue

Domain strength moves consistently with recurring revenue across the market.



Followers do not

Social following shows almost no relationship to monetization outcomes.



WHY THIS MATTERS diligence checklists should downweight social proof and upweight organic search equity and revenue-per-visitor — the less visible metrics are the predictive ones.

“The businesses winning here aren’t the loudest — they’re the most efficient at turning a visitor into a dollar.”

Winners look structurally different, not just bigger

Top performers combine deep subscriber bases, strong organic footprints, and a balanced B2B / B2C mix — a profile the fund can underwrite against.



Deep subscriber base

Meaningfully larger active-subscriber depth than the rest of the market.



Strong organic authority

Higher domain strength — durable, non-paid distribution equity.



Balanced B2B / B2C mix

Unlike the broader market, top performers don't over-index on consumer-only positioning.



High revenue per visitor

Traffic converts into revenue far more efficiently than the market average.



WHY THIS MATTERS this gives diligence a concrete, category-agnostic checklist rather than a bet on the "AI" label alone.

“The best businesses aren't defined by what they sell — they're defined by how efficiently they turn attention into revenue.”

Underperformers share a consumer-heavy, low-authority profile

Weaker businesses skew consumer-facing, carry thin organic footprints, and generate traffic that fails to convert — an execution gap, not a demand gap.



Consumer-heavy mix

Far less B2B representation than the top tier — B2C alone struggles to scale recurring revenue.



Thin organic footprint

Domain authority collapses in this cohort — attention is rented, not owned.



Traffic without conversion

Meaningful visits still arrive — the failure is monetization, not visibility.



The "AI" label offers no cover

AI is just as present here as among the winners — no natural insulation.

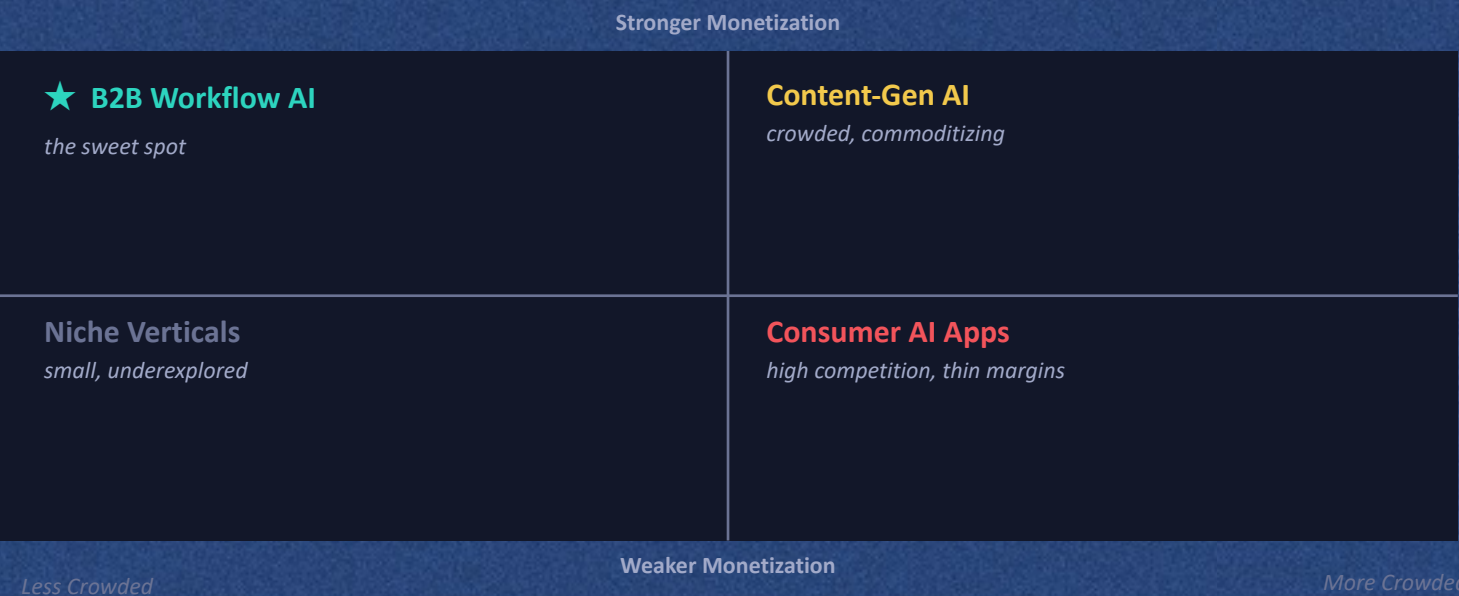


WHY THIS MATTERS these are early, visible red flags the fund can pattern-match before they surface in headline growth numbers.

“Most of the weak businesses here aren’t invisible — they’re just unable to convert visibility into value.”

The white space sits in B2B, workflow-embedded AI

B2B and workflow-oriented AI consistently monetizes at a premium to consumer AI, yet represents a smaller share of new entrants — a clear supply-demand gap.



Focus over footprint

Breadth of stated target markets shows no advantage — narrow ICP focus wins.



Adjacent white space

Analytics, fintech tooling, and vertical SaaS show healthier monetization with less crowding.

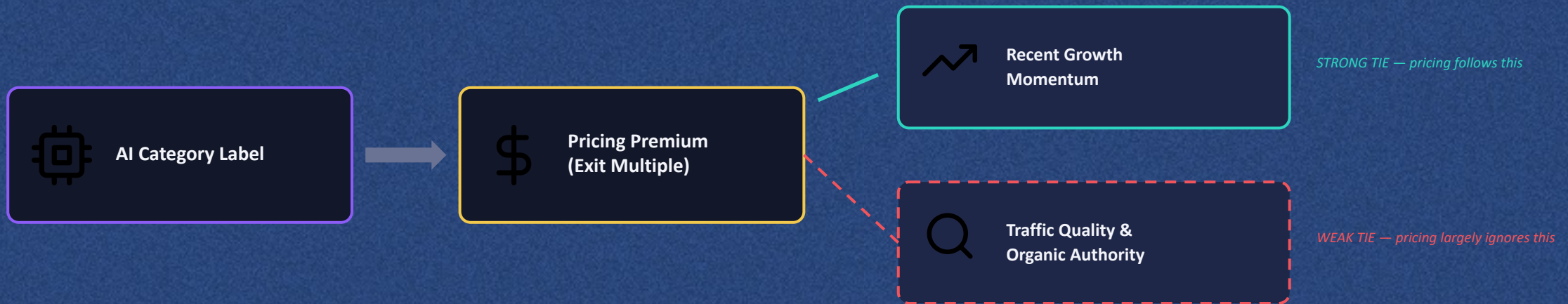


WHY THIS MATTERS gives the fund a specific sourcing thesis — "back more AI" is not a strategy, "back workflow-embedded B2B AI" is.

“The opportunity isn’t in more AI — it’s in AI that quietly embeds into a workflow instead of chasing consumer attention.”

The market is pricing AI on narrative, not durability

AI-labeled businesses command a clear premium in the secondary market — and that premium tracks recent growth momentum far more closely than it tracks organic authority or traffic quality.



A widely-crowded category compounds this risk: with content-generation AI clustering around one wedge, differentiation and commoditization risk are elevated for any single bet.



WHY THIS MATTERS

paying an AI premium without separately verifying durability risks buying a growth headline instead of a growth business.

“Paying an AI premium without verifying durability is buying a growth headline, not a growth business.”

Businesses for sale are stronger, not weaker, than the market

The secondary market is behaving counterintuitively — sellers skew toward proven, higher-revenue operators rather than distressed side projects.

CONVENTIONAL ASSUMPTION	WHAT THE DATA ACTUALLY SHOWS
<i>"For sale" signals a struggling business</i>	Listed businesses skew toward meaningfully higher recurring revenue than the market at large
<i>A bigger social following signals a stronger business</i>	Following size shows almost no relationship to revenue outcomes
<i>Targeting more markets/geographies is an advantage</i>	Broader stated market reach shows no performance edge over focused positioning



WHY THIS MATTERS reframes "for sale" listings as a sourcing channel for proven assets, not a distress-shopping list — and flags where founders themselves are misreading their own growth levers.

“In this market, the businesses for sale aren’t the leftovers — they may be the best-curated deal flow available.”

Underwrite execution, not category exposure

The sourcing and diligence playbook below converts this analysis into concrete partner-level actions, prioritized top to bottom.

1. Prioritize B2B, workflow-embedded AI

over consumer content-gen AI, where crowding risk is highest

2. Weight organic authority & conversion efficiency

over social proof — followers are a weak predictor here

3. Favor subscription-first monetization

over one-time or lifetime pricing, which is less durable

4. Underwrite durability separately from momentum

before paying an AI premium on any acquisition target

5. Mine the secondary market for proven operators

treat for-sale listings as curated deal flow, not distress



WHY THIS MATTERS this is the operating checklist the fund should apply to every AI-adjacent opportunity that crosses the desk this cycle.

“Win by underwriting operators who monetize efficiently — not categories that sound inevitable.”

FINAL INVESTMENT TAKEAWAY

AI is the market's biggest opportunity
and its biggest trap — in the same breath.

The fund's edge isn't spotting AI. It's telling the two apart — favoring the operators who compound quietly through organic authority, B2B focus, and subscription discipline over the ones who simply launch loudly.

The next fund-return AI bet won't be the loudest company in the category —
it will be the quietest one converting best.